unit/s as mentioned above, will be treated as non-housing loans and will not be falling under the definition of 'Housing Finance'.

(xv) 'Income Generating Loan' means loans extended for the purpose of productive economic activities, such as farm credit, loans for business or commercial purposes, loans for creation or acquisition of productive assets etc.

(xvi) 'Infrastructure Sector' shall include the sub-sectors included in the Harmonised Master List of Infrastructure sub-sectors issued by the Department of Economic Affairs, Ministry of Finance, Government of India.

(xvii) 'Interest During Construction (IDC)' means the interest accrued on debt provided by a lender and capitalised during the construction phase of the project.

(xviii) 'Jewellery' means the items that are designed to be worn as personal adornments.

(xix) 'Lending Service Provider' (LSP) means an agent of an NBFC (including another lender) who carries out one or more of NBFC's digital lending functions, or part thereof, in customer acquisition, services incidental to underwriting and pricing, servicing, monitoring, recovery of specific loan or loan portfolio on behalf of the NBFC in conformity with extant outsourcing guidelines issued by the Reserve Bank.

Provided that while entities offering only Payment Aggregator (PA) services in terms of the extant instructions issued by the Reserve Bank shall remain out of the ambit of these Directions, any PA also performing the role of an LSP shall comply with Chapter IV of these Directions.

(xx) 'Original DCCO' means the date, as envisaged at the time of financial closure, by which the project is expected to be put to commercial use and completion certificate/provisional completion certificate, or its equivalent, is expected to be issued to the concessionaire / project developer/promoter.

Provided that in the case of CRE and CRE-RH projects, original DCCO shall be the date on which Occupancy Certificate, or its equivalent, is expected to be obtained from the competent authority.

(xxi) 'Ornaments' means the items meant for use as adornment of any object, decorative items, or utensils, excluding those items that fall under the definition of jewellery as defined above.

(xxii) 'Primary Gold and Primary Silver' means gold and silver in any form other than in the form of a jewellery, ornaments and coins.

(xxiii) Project' in the context of Chapter VII of these Directions means the ventures undertaken through capital expenditure (involving current and future outlay of funds) for creation/expansion/upgradation of tangible assets and / or facilities in the expectation of stream of cash flow benefits extending far into the future. Projects usually have the characteristics of a long gestation period, irreversibility and substantial capital outlays.

(xxiv) 'Project Finance' in the context of Chapter VII of these Directions refers to the method of funding a project in which the revenues to be generated by the funded project serve as the primary security for the loan, and also as a source of repayment. Project finance may take the form of financing the construction of a new capital installation (greenfield) or financing an improvement/enhancement in the existing installation (brownfield). For the purpose of these Directions, an exposure shall qualify as a project finance exposure only if the following conditions are satisfied:

(a) The pre-dominant source of repayment as envisaged at the time of financial closure (i.e., at least 51 per cent) must be from cash flows arising from the project which is being financed.

(b) All the lenders have a common agreement with the debtor.

Explanation: A common agreement may have different loan terms (except original/extended/actual DCCO as specified in paragraph 68 of these Directions) for each of the lender provided the same has been agreed upon by the debtor and all the Lender(s) to the project.

(xxv) 'Restructuring' means the same as defined under the Reserve Bank of India (Non- Banking Financial Companies- Resolution of Stressed Assets) Directions, 2025.

(xxvi) 'Top-up Loan' in the context of Chapter IV of these Directions means an additional loan sanctioned over and above an outstanding loan, during the

tenor of the original loan, based on the strength of the collateral already pledged for the existing loan.

(2) All other expressions, unless defined herein, shall have the same meaning as have been assigned to them under the Banking Regulation Act, 1949, or the Reserve Bank of India Act, 1934, or as used in commercial parlance, as the case may be.

Chapter II - Board Approved Policies

A. Role of Board

5. An NBFC shall put in place Board approved credit policy covering, inter alia, the areas specified below, to the extent such activities are undertaken by it. The specific aspects to be addressed in this policy are detailed in the relevant paragraphs of these Directions.

   (1) Digital Lending including DLG
   (2) Lending Against Gold and Silver Collateral
   (3) Microfinance Loans
   (4) Project Finance
   (5) Demand / Call Loans
   (6) Housing Finance

Chapter III - Digital Lending

A. General Requirements for NBFC-LSP Arrangements

6. Due diligence requirements with respect to LSPs

(1) Digital lending by an NBFC involving a LSP, shall be carried out under a contractual agreement between the NBFC and the LSP, which clearly defines the respective roles, rights, and obligations of each party thereto.

(2) An NBFC shall conduct enhanced due diligence before they enter into an agreement with a LSP for digital lending, taking into account LSP's technical capabilities, robustness of data privacy policies and storage systems, fairness in conduct with borrowers, past records of conduct and ability to comply with all applicable regulations and statutes.

(3) An NBFC shall carry out periodic review of the conduct of the LSP vis-à-vis the terms of the contractual agreement and shall take appropriate action in the event of any deviation therefrom.

(4) An NBFC shall lay down, as part of its policy, suitable monitoring mechanisms for the loan portfolios originated with the support of LSPs.

(5) An NBFC shall impart necessary guidance to LSP acting as a recovery agent, to discharge their duties responsibly and ensure that LSP complies with the applicable instructions under Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025, and other relevant instructions as issued from time to time.

(6) An NBFC shall continue to conform to the extant guidelines on outsourcing (as specified under Reserve Bank of India (Non-Banking Financial Companies – Managing Risks in Outsourcing) Directions, 2025) and shall ensure that the LSPs engaged by them and the DLAs (either of the NBFC or of the LSPs engaged by the NBFC) comply with these Directions.

(7) As an overarching principle, any outsourcing agreement entered into by an NBFC with an LSP shall in no manner dilute or absolve the NBFC of its obligations under any statutory or regulatory provision, and the NBFC shall remain fully responsible and liable for all acts and omissions of the LSP.

7. NBFC-LSP arrangements involving multiple lenders

In cases where a LSP has agreements with multiple lenders for digital lending, each NBFC shall ensure the following:

(1) LSP shall provide a digital view of all the loan offers matching the borrower's request on the DLA which meets the requirement of the borrower. The name of the unmatched lenders shall also be disclosed in the digital view.

(2) While the LSP may adopt any mechanism to match the request of borrowers with the lender (s) to offer a loan, it shall follow a consistent approach for similarly placed borrowers and products. The mechanism adopted by the LSP and any subsequent changes to this mechanism shall be properly documented.

(3) The digital view of loan offers from matching lenders shall include the name (s) of the lender (s) extending the loan offer, amount and tenor of loan, APR, monthly repayment obligation and penal charges (if applicable), in a way which enables the borrower to make a fair comparison between various offers. A link to the KFS shall also be provided in respect of each of the lender.

(4) The content displayed by the LSP shall be unbiased, objective and shall not directly/ indirectly promote or push a product of a particular lender, including the use of dark patterns/deceptive patterns designed to mislead borrowers into choosing a particular loan offer. However, ranking of loan offers based on a publicly pre-disclosed metric for such ranking shall not be construed as promoting a particular product.

Note: Dark patterns shall have the same meaning as defined under Section 2(e) of the 'Guidelines for Prevention and Regulation of Dark Patterns, 2023' dated November 30, 2023, issued by Central Consumer Protection Authority, and as amended from time to time.

B. Conduct and Customer Protection Requirements

8. Assessing the borrower's creditworthiness

(1) An NBFC shall obtain the necessary information relating to economic profile of the borrower with a view to assessing the borrower's creditworthiness before extending any loan, including, at a minimum, age, occupation and income details. The same shall be kept on record for audit purposes.

(2) An NBFC shall ensure that there is no automatic increase in credit limit unless an explicit request is received, evaluated and kept on record from the borrower for such increase.

9. Disclosures to borrowers

(1) An NBFC shall provide a Key Fact Statement (KFS), as per instructions contained in Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025.

(2) As regards penal charges, an NBFC shall be guided by Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025.

(3) An NBFC shall ensure that digitally signed documents (on the letter head of the NBFC) *viz*., KFS, summary of loan product, sanction letter, terms and conditions, account statements, privacy policies of the NBFC / LSP with respect to storage and usage of borrowers' data, etc. shall automatically flow to the borrower on the registered and verified email / SMS upon execution of the loan contract / transactions.

Note: Digitally signed documents shall be in compliance with the provisions of the Information Technology Act, 2000, as amended from time to time.

(4) An NBFC shall maintain a website of its own in public domain, which shall be kept up to date, *inter-alia*, with the following details at a prominent single place on the website for ease of accessibility:

(i) Details of all of its digital lending products and its DLAs.

(ii) Details of LSPs and the DLAs of the LSPs along with the details of the activities for which they have been engaged for.

(iii) Particulars of NBFC's customer care and internal grievance redressal mechanism.

(iv) Link to the Reserve Bank's Complaint Management System (CMS) and Sachet Portal.

(v) Privacy policies and other details as required under extant guidelines of the Reserve Bank.

(5) An NBFC shall ensure that DLAs / LSPs have links to the above website of the NBFC.

(6) In case of a loan default, when a recovery agent is assigned for recovery or there is a change in the recovery agent already assigned, the particulars of such recovery agent authorised to approach the borrower for recovery shall be communicated to the borrower through email / SMS before the recovery agent contacts the borrower for recovery.

10. Loan disbursal, servicing and repayment

(1) Disbursement of loan by an NBFC shall always be made into the bank account of the borrower except for disbursals covered exclusively under statutory or regulatory mandate (of the Reserve Bank or of any other regulator), flow of money between lenders for co-lending transactions and disbursals for specific end use, provided the loan is disbursed directly into the bank account of the end-beneficiary. An NBFC shall ensure that in no case, disbursal is made to a third-party account, including the accounts of LSP, except as provided for in this Chapter on 'Digital Lending'.

Provided that advances against salary, where the loan is disbursed directly to the bank account of the borrower, but the repayment is from the corporate employer, can be allowed subject to the condition that the loan is repaid by the corporate employer by deducting the amount from the borrower's salary. However, it must be ensured that LSPs do not have any control over the flow of funds directly or indirectly in such transactions and that repayment is directly from the bank account of the employer to the NBFC.

Note: Co-lending arrangements shall be governed by the Reserve Bank of India (Non-Banking Financial Companies – Transfer and Distribution of Credit Risk) Directions, 2025, subject to the condition that no third party other than the lenders in a co-lending transaction shall have direct or indirect control over the flow of funds at any point of time.

(2) An NBFC shall ensure that all loan servicing, repayment, etc. is executed by the borrower directly in the NBFC's bank account without any pass-through account/ pool account of any third party, including the accounts of LSP.